# Vinamilk (HOSE: VNM): Valuation Summary

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Personal project, October 2026

5-year unlevered DCF + trading comparables in Excel | Balance sheet at 30 Jun 2026 | Market data at 16 Oct 2026 close | Unit: VND billions unless stated

**Question.** Is Vinamilk, Vietnam's largest dairy company, fairly priced? Valued two ways: a DCF built from audited filings, and trading comparables against regional dairy peers.

| VND 64,963 | VND 68,710–74,353 | VND 57,800 | +12% / +19–29% |
|---|---|---|---|
| DCF value per share (base case) | Trading comps (25th–75th pct) | Market price, 16 Oct 2026 | Upside: DCF / comps |

**Conclusion.** Both methods point to undervaluation: the DCF gives VND 64,963 per share (+12%) and trading comps VND 68,710–74,353 (+19–29%). VNM trades at an 18% EV/EBITDA discount to peers despite a 7-point higher EBITDA margin. Part of that gap is likely structural (frontier-market status, foreign-ownership limits), so not all of it is upside.

## DCF forecast summary

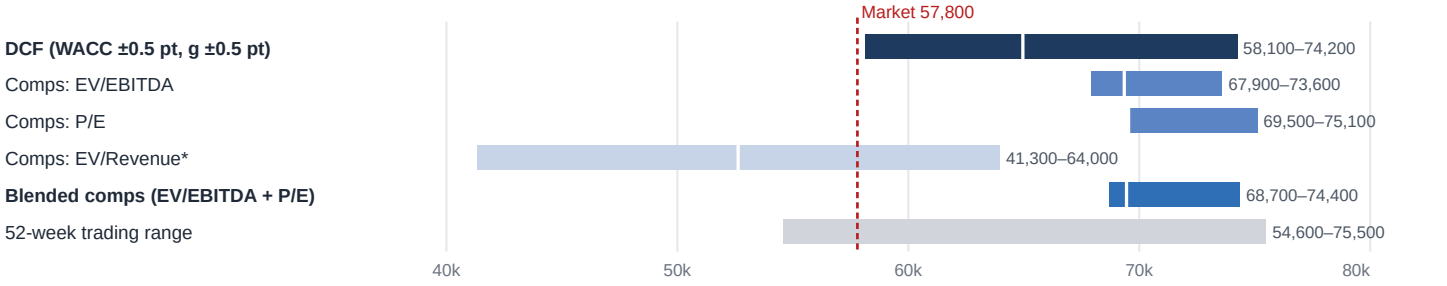
| VND bn | 2025A | 2026E | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|
| Revenue | 63,646 | 70,647 | 73,826 | 76,779 | 79,466 | 81,850 |
| Growth | 3.0% | 11.0% | 4.5% | 4.0% | 3.5% | 3.0% |
| EBIT | 10,664 | 12,575 | 12,920 | 13,283 | 13,668 | 13,915 |
| EBIT margin | 16.8% | 17.8% | 17.5% | 17.3% | 17.2% | 17.0% |
| **Unlevered free cash flow** | **6,315** | **4,643*** | **8,342** | **8,476** | **8,630** | **8,676** |

* H2 2026 only; H1 cash flow is already in the 30 Jun cash balance.

## From EV to value per share

| VND bn | |
|---|---|
| PV of free cash flow | 30,483 |
| PV of terminal value | 90,427 |
| **Enterprise value (EV)** | **120,910** |
| + Cash, deposits and associates | 27,114 |
| − Debt and non-controlling interests | (12,254) |
| **Equity value** | **135,770** |
| Shares outstanding (bn) | 2.090 |
| **Value per share (VND)** | **64,963** |

## Football field: value per share (VND)




Bars show low–high, tick shows midpoint; comps use the peer 25th–75th percentile. *Not weighted: VNM's margins are well above peers, so revenue multiples understate it.

## Trading comparables (FY2025A, prices 16 Oct 2026)

| Company | EV/EBITDA | P/E | EBITDA margin | Revenue growth |
|---|---|---|---|---|
| Yili (China) | 12.7x | 15.4x | 14.1% | 0.1% |
| Mengniu (China) | 9.1x | n.m. | 9.8% | -7.3% |
| Ultrajaya (Indonesia) | 10.0x | 15.4x | 21.1% | -1.2% |
| Dutch Lady (Malaysia) | 10.0x | 17.9x | 12.1% | 3.8% |
| **Peer median** | **10.0x** | **15.4x** | **13.1%** | **-0.6%** |
| **VNM at market** | **8.2x** | **12.8x** | **20.5%** | **3.0%** |
| VNM vs. median | -18% | -17% | +7.4 pt | +3.6 pt |

Mengniu P/E n.m. (impairments). Nestlé Malaysia excluded (structural premium).

## DCF sensitivity: value per share (VND)

| WACC / g | 2.0% | 2.5% | 3.0% | 3.5% | 4.0% |
|---|---|---|---|---|---|
| **8.55%** | 66,695 | 70,619 | 75,250 | 80,798 | 87,563 |
| **9.05%** | 62,506 | 65,820 | 69,682 | 74,239 | 79,698 |
| **9.55%** | 58,871 | 61,701 | **64,963** | 68,764 | 73,248 |
| **10.05%** | 55,688 | 58,127 | 60,913 | 64,123 | 67,863 |
| **10.55%** | 52,876 | 54,997 | 57,398 | 60,139 | 63,299 |

Green = at or above market price; red = below.

## Key judgement calls

- **WACC 9.55%** (bond yield 4.58% + beta 0.67 × risk premium 8.13%). A Damodaran-consistent treatment would put it near 7% and raise the value.
- **Terminal value is ~75% of DCF EV,** and 2026E revenue and margin sit above management's target.
- **Comps:** four regional peers and three usable P/Es, blended 50% EV/EBITDA and 50% P/E.
- **Equity bridge:** VND 21,968bn of bank deposits treated as fully liquid; NCI at book value.

**Sources:** Vinamilk audited FY2021–25 and H1 2026 financial statements (KPMG-reviewed); Vietstock; Trading Economics; Damodaran (Jan 2026); VNDirect. Peers: company filings, Yahoo Finance, StockAnalysis, Investing.com, Simply Wall St. Full sources and assumptions in the Excel models. Educational project; not investment advice.